

CALIFORNIA BOOTH RENTAL AGREEMENT

AB-5 Compliant Independent Contractor Booth Rental

THE J FORMULA LEGAL VAULT
California-Compliant Template

BOOTH/STATION RENTAL AGREEMENT

For Licensed Cosmetology Professionals in California

This Booth Rental Agreement ("Agreement") is entered into as of _____ ("Effective Date")

BETWEEN:

SALON OWNER/LESSOR:

Name: _____

Business Name: _____

California Establishment License #: _____

Address: _____

Phone: _____ Email: _____

BOOTH RENTER/LESSEE:

Name: _____

Business Name (DBA): _____

Address: _____

Phone: _____ Email: _____

CALIFORNIA LICENSE INFORMATION (Required):

License Type: & Cosmetologist & Barber & Esthetician & Electrologist

California License Number: _____

License Expiration Date: _____

CALIFORNIA AB-5 COMPLIANCE NOTICE

& p IMPORTANT: Under California Assembly Bill 5 (AB-5), licensed barbers, cosmetologists, estheticians, and electrologists MAY operate as independent booth renters if specific conditions are met. This Agreement is designed to establish a legitimate independent contractor relationship.

Note: As of January 1, 2025, licensed manicurists are NO LONGER eligible for booth rental exemptions in California and must be classified as employees.

To maintain independent contractor status under California law, Booth Renter must:

- Set their own rates for services
 - Set their own hours and schedule
 - Be free from control and direction in performing services
 - Maintain their own clientele
 - Maintain their own business license (if required by city/county)
 - Maintain their own professional liability insurance
 - Provide their own tools and products (or pay for salon products used)
-

1. PREMISES

Salon Owner agrees to rent to Booth Renter the following space:

- & Styling Station # _____
- & Private Suite # _____

- & Designated Area (describe): _____

Located at: _____

(Must be a California Board of Barbering and Cosmetology licensed establishment)

2. TERM

Initial Term: This Agreement shall commence on _____ and continue:

- & Month-to-month basis
- & Fixed term of _____ months, ending on _____

Renewal:

- & Automatically renews month-to-month after initial term
- & Requires written renewal agreement

Notice to Terminate: _____ days written notice required by either party

3. RENT & PAYMENT

Monthly Rent: \$ _____

Due Date: _____ day of each month

Security Deposit: \$ _____ (equal to one month's rent maximum per CA Civil Code)

Acceptable Payment Methods:

- & Check (payable to: _____)
- & Electronic Transfer
- & Other: _____

Late Fee: \$ _____ OR _____ % of rent (not to exceed reasonable late fee under CA law)

Late After: _____ days past due date

Returned Check Fee: \$ _____ (maximum \$25 for first, \$35 for subsequent per CA Civil Code §1719)

4. WHAT SALON PROVIDES (INCLUDED IN RENT)

- & Use of licensed establishment space
- & Water and electricity
- & Heating and air conditioning
- & Waiting area for clients
- & Shared restroom facilities
- & Wi-Fi access
- & Basic cleaning of common areas
- & Parking availability
- & Shampoo bowl access
- & Other: _____

5. BOOTH RENTER'S RESPONSIBILITIES

Booth Renter shall be solely responsible for:

Licensing & Compliance:

- & Maintaining valid California cosmetology/barber license
- & Displaying license at workstation as required by CA Board
- & Complying with all California Board of Barbering and Cosmetology regulations
- & Obtaining city/county business license (if required)
- & Maintaining current CPR certification (if required for license)

Insurance:

- & Professional liability insurance (minimum \$1,000,000 per occurrence)
- & General liability insurance (minimum \$1,000,000 per occurrence)
- & Proof of insurance provided to Salon Owner upon request

Business Operations:

- & All professional products and supplies
- & All tools and equipment

- & Marketing and business promotion
- & Scheduling and booking own clients
- & Collecting payment from own clients
- & Setting own service prices
- & Managing own client records

Taxes & Financial:

- & All federal self-employment taxes
- & California state income taxes
- & California Sales and Use Tax (if selling retail products)
- & Quarterly estimated tax payments
- & All business-related expenses

6. INDEPENDENT CONTRACTOR STATUS - CALIFORNIA REQUIREMENTS

6.1 Acknowledgment of Status:

Booth Renter expressly acknowledges and agrees that:

- a) Booth Renter is an INDEPENDENT CONTRACTOR and NOT an employee of Salon Owner.
- b) This arrangement qualifies for exemption under California Labor Code Section 2750.3 (AB-5) because Booth Renter:

- Holds a valid California license to perform the services
- Sets their own rates for services performed
- Sets their own hours of work
- Is free from control and direction in the performance of services
- Maintains a clientele that Booth Renter controls
- Contracts with additional salons/businesses (or has the freedom to do so)
- c) Booth Renter has the right to control the manner and means of performing services, including:
 - Which clients to accept or decline
 - Scheduling and hours worked
 - Techniques and methods used
 - Products and tools used
 - Service pricing

6.2 No Employment Relationship:

Salon Owner shall NOT:

- Withhold federal, state, or local taxes
- Provide California State Disability Insurance (SDI)
- Provide workers' compensation insurance for Booth Renter
- Provide unemployment insurance (UI/EDD)
- Provide health insurance or any employee benefits
- Provide paid time off, sick leave, or vacation
- Set required working hours (other than facility availability)
- Dictate how services must be performed
- Set prices for Booth Renter's services
- Assign clients to Booth Renter
- Require attendance at staff meetings

6.3 Tax Documentation:

- Booth Renter shall provide completed IRS Form W-9
- Salon Owner will provide IRS Form 1099-NEC (if payments exceed \$600/year)
- Booth Renter is solely responsible for accurate tax reporting

7. INSURANCE REQUIREMENTS (CALIFORNIA-SPECIFIC)

7.1 Required Coverage:

Booth Renter shall maintain at their own expense:

- Professional Liability Insurance: Minimum \$1,000,000 per occurrence

- General Liability Insurance: Minimum \$1,000,000 per occurrence

7.2 Policy Requirements:

- Insurance must be issued by a carrier licensed in California
- Coverage must remain in effect throughout the term of this Agreement
- Booth Renter shall provide Certificate of Insurance to Salon Owner:

& Upon signing this Agreement

& Upon renewal of insurance policy

& Upon request by Salon Owner

7.3 Additional Insured:

& Salon Owner shall be named as additional insured on Booth Renter's policy

& Not required

8. HOURS OF OPERATION

Salon Facility Hours: _____

Booth Renter Access:

- & During salon business hours only
- & Extended hours with key/code: _____
- & 24/7 access provided

Key/Security Code Deposit (if applicable): \$ _____

Booth Renter sets their OWN schedule within available facility hours. Salon Owner does NOT require minimum hours.

9. PROFESSIONAL STANDARDS & CALIFORNIA BOARD COMPLIANCE

Booth Renter agrees to:

- Maintain valid California Board of Barbering and Cosmetology license
- Display license at workstation at all times (CA Bus. & Prof. Code §7395)
- Follow all CA Board health and safety regulations
- Properly disinfect and maintain tools per CA Board requirements
- Use EPA-registered disinfectants as required
- Maintain clean and sanitary workstation
- Dispose of waste properly per health regulations
- Report any health/safety violations observed
- Cooperate with CA Board inspections
- NOT perform services outside scope of license

10. CLIENT OWNERSHIP & RECORDS

10.1 Client Ownership:

Booth Renter's clients are Booth Renter's own property. Booth Renter may:

- Maintain their own client list and contact information
- Take client list upon termination
- Contact clients after departure
- Build and market their own clientele

10.2 Existing Salon Clients:

Clients who were salon clients before Booth Renter's arrival:

& May become Booth Renter's clients without restriction

& Subject to _____ month non-solicitation period after departure

11. PRODUCTS & RETAIL SALES

11.1 Professional Products:

& Booth Renter provides all products (no cost to salon)

& Booth Renter may purchase products from Salon at: _____% discount

& Backbar provided; Booth Renter pays: \$_____ monthly OR _____% of revenue

11.2 Retail Sales:

- & Booth Renter may sell retail products independently
- & Booth Renter retains 100% of retail sales (responsible for own sales tax)
- & Booth Renter sells salon retail; commission: _____%
- & No retail sales permitted

12. NON-COMPETE PROVISIONS

- & b California Notice: California Business and Professions Code §16600 generally makes non-compete agreements unenforceable in California, except in limited circumstances (e.g., sale of business).
- & No non-compete restrictions apply (RECOMMENDED for California)
- & Limited restriction (may not be enforceable):

13. CONFIDENTIALITY

Booth Renter agrees to maintain confidentiality of:

- Salon Owner's business practices and trade secrets
- Salon Owner's vendor/supplier relationships
- Other renters' client information
- Any proprietary information disclosed during this relationship

This confidentiality obligation survives termination.

14. TERMINATION

14.1 Termination by Either Party:

Either party may terminate this Agreement with _____ days written notice for any reason.

14.2 Immediate Termination by Salon Owner:

Salon Owner may terminate immediately if Booth Renter:

- Loses, surrenders, or has California license suspended/revoked
- Violates California Board of Barbering and Cosmetology regulations
- Fails to maintain required insurance
- Engages in illegal activity on premises
- Creates unsafe conditions
- Materially breaches this Agreement
- Fails to pay rent for _____ consecutive days

14.3 Upon Termination:

- Booth Renter shall remove all personal property within _____ days
- Booth Renter shall return keys/access codes
- Security deposit returned per California law (within 21 days, itemized deductions)
- All amounts owed shall be paid in full

15. SECURITY DEPOSIT (CALIFORNIA CIVIL CODE §1950.5-1950.7)

Per California law:

- Security deposit shall not exceed two months' rent (or one month if unfurnished)
- Deposit shall be returned within 21 days of termination
- Itemized statement of deductions required if any amount withheld
- Deposit may only be used for: unpaid rent, cleaning, and repair of damages beyond normal wear

16. DISPUTE RESOLUTION

16.1 Governing Law: This Agreement shall be governed by California law.

16.2 Venue: Any legal action shall be brought in _____ County, California.

16.3 Resolution Process:

- & Parties agree to attempt mediation before litigation

& Binding arbitration in _____ County per California Arbitration Act
& Small Claims Court (if under \$12,500)
& Direct litigation
16.4 Attorney's Fees:
& Prevailing party entitled to reasonable attorney's fees
& Each party bears own costs

17. NOTICES

All notices shall be in writing and delivered to addresses above via:

- Certified mail, return receipt requested
- Personal delivery with written acknowledgment
- Email with confirmation (if agreed):

Salon Owner: _____

Booth Renter: _____

18. ENTIRE AGREEMENT

This Agreement constitutes the entire agreement between the parties. Any modifications must be in writing and signed by both parties. This Agreement supersedes all prior discussions and agreements.

19. SEVERABILITY

If any provision of this Agreement is found unenforceable under California law, the remaining provisions shall remain in full effect.

SIGNATURES

By signing below, both parties acknowledge they have read, understand, and agree to all terms of this Agreement.

SALON OWNER/LESSOR:

Signature: _____ Date: _____

Printed Name: _____

Title: _____

BOOTH RENTER/LESSEE:

Signature: _____ Date: _____

Printed Name: _____

California License #: _____

ATTACHMENTS

& Exhibit A: Salon House Rules
& Exhibit B: Copy of Booth Renter's California License
& Exhibit C: Certificate of Insurance
& IRS Form W-9

CALIFORNIA BOARD OF BARBERING AND COSMETOLOGY

Contact Information:

- Website: www.barbercosmo.ca.gov
- Phone: (800) 952-5210
- Address: P.O. Box 944226, Sacramento, CA 94244-2260

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SIGNATURES

Party 1 Signature: _____

Printed Name: _____

Date: _____

Party 2 Signature: _____

Printed Name: _____

Date: _____

